

02

Message from the President

Transformation to a Global Integrated Enterprise by Continuing to Drive the Implementation of Our Global X Digital Approach

Mitsuyuki Tominaga
President and COO,
Representative Director

Message from the new President and COO

My name is Mitsuyuki Tominaga, and I was appointed President in January this year. First, I would like to briefly introduce myself to our valued stakeholders.

I am a fan of all kinds of sports, but I was particularly fond of tennis and even studied overseas in my university days in the hopes of turning pro. Even today, I continue to enjoy the game with a strong passion. I spent my childhood and university years overseas, and up until joining ASICS in 2018 I had worked at various global companies with a focus on digital technology and IT. Since joining ASICS, I have filled a dual CDO and CIO role as head of the digital business, promoting ASICS' Group-wide digital transformation including the running ecosystem.

In November last year, ASICS unveiled Mid-Term Plan 2026 (MTP 2026), and the further promotion of the "Global X Digital" approach laid out in MTP 2026 falls precisely in line with my career to date. As President and COO, I will make every effort to fully capitalize on the experience I have cultivated to date and raise ASICS to yet another stage.

Looking to Further Global Growth

ASICS has grown into a global company, with overseas sales accounting for more than 80% of total sales. The regional spread is also well balanced across North America, Europe, Greater China, Japan and developing countries. In this global competitive environment, ASICS has managed to play to its strengths in terms of the quality and functionality of its products. However, to achieve further global growth, I believe there is room for us to improve further on the three aspects of products, regions and services.

Products

On the product front, even looking at the single category of shoes, we maintain an extensive lineup ranging from our core performance running shoes to fashion-oriented products from Onitsuka Tiger and other divisions. I hope that we will continue to strengthen our existing structure of continually creating a healthy balance of innovative products that embody Sound Mind, Sound Body, rather than relying on a few products that sell well. Today, running shoes have become a key pillar, accounting for almost 50% of our overall sales, but going forward we will focus on developing other categories into new pillars that stand next to running. For example, my favorite sport of tennis is one such candidate. ASICS currently has sponsorship agreements with around 40 top tennis players. Each year, the four Grand Slam and other major tournaments take place around the world, and there is room to capitalize on our relationships with these top athletes and collaboration with tournaments more effectively. Having the Head Quarter coordinate with regional operating companies in more organic ways will strengthen our products.

Regions

Maintaining a good balance across regions is also important in terms of mitigating geopolitical risks. We will focus on establishing footprints in high-growth regions while continuing to reinforce our presence in key markets including North America, Japan, Europe and Greater China.

Among these key markets, North America is considered the primary market in terms of competition, which has become extremely intense as new players join the fray. Past challenges have taught us that there is a significant ripple effect on branding when top runners choose ASICS shoes. Given this, we have set the ambitious target of securing a 25% market share at running specialty stores, which play a key role. From there, we aim to create a trickle-down effect that will reach non-professional marathon runners. In addition, utilizing the data accumulated through race registrations and other means, we will strive to further enhance the brand by reaching out directly to runners who wear competing shoe brands.



Meanwhile, in markets such as India and Southeast Asia that are expected to enjoy high growth, we will promote ASICS' philosophy along with brand recognition by dedicating human and financial resources through the dispatch of young talent personnel, investments in stores and other efforts. India, in particular, is highly attractive not only for its potential as a market but also because it is home to many tech-savvy workers with world-class skills. ASICS is the main sponsor of the Mumbai Marathon, and I have personally traveled there to strengthen our ties with the local race registration company. Outside India, there are many other regions with strong prospects for market growth such as Indonesia, and we are making progress in market development while considering the adoption of prior examples from other regions. For example, in Australia, where we have established ourselves as a brand with a leading market share, ASICS shoes are highly regarded from a medical standpoint, and one idea is to take our approach in Australia of spreading recognition of the ASICS brand in conjunction with our Sound Mind, Sound Body philosophy and expanding it to other regions. Rather than being directed from the Head Quarter, our aim is for each regional operating company, which is familiar with its own market characteristics, to pursue measures autonomously, drive regional growth and, as a result, contribute to the global growth of ASICS.

Services

In promoting the ideals of Sound Mind, Sound Body, Services is the area in which ASICS' values can be expanded to the broadest extent. ASICS customers use our products on a daily basis as they engage in a variety of training toward their respective goals, culminating in a race or other event. In addition to products, we provide services that aid customers in their day-to-day training, allow them to register for races, and incorporate medical and

What's ASICS

Message from the President

Value Creation

Foundations of Value Creation Sustainability

Foundations of Value Creation Corporate Governance

Data Section



Photo credit: Yoshiro Nagahama

supplement support. The ability to achieve this is a key strength of ASICS and is the very embodiment of "Sound Mind, Sound Body." Improving services is not something that can be fully achieved over a three-year period. It is important to operate these services as a robust core business over the long term and at a global scale that includes developing countries. The core of this lies in the utilization of digital technology, and we want to be a company that continues to support customers by strengthening these digital services.

Transformation to a Global Integrated Enterprise

The question is what kind of organization should we be to achieve the global growth I just mentioned? The answer lies in the major policy laid out in MTP 2026: our Transformation to a Global Integrated Enterprise, or GIE. Under this policy, we will work to enhance coordination between the Head Quarter and regional operating companies and build an organic category-based management system.

Management System

To transform to a Global Integrated Enterprise, we have made significant changes to our management decision-making mechanisms. The CEOs of our regional operating companies have been placed directly under the President, and starting this year our management

meetings will be held as global management meetings with members from key overseas regional operating companies also taking part. To reinvigorate communication between regional operating companies and facilitate overall optimization, these meetings will be held in English. In addition, twice a year we will hold a Global Summit at our Kobe head office to gather the CEOs of all the regional operating companies in one place. These will be a chance to thoroughly discuss a range of topics including branding, the supply chain and our global talent strategy.

The members responsible for this management structure have also undergone a shakeup, and close to 60% of the management team have assumed new leadership roles. The management team, which now has more women and overseas members, is not only younger and more diverse but also better equipped than ever to drive our digital, services and global priorities. Under this management system, we will make dynamic use of IT platforms, data and talent worldwide as a GIE.

Human Resources Strategy

For the human resources supporting ASICS as a GIE, we aim to create a structure where people with various specialties in different countries have avenues for success that are not limited to their own regions. Instead, we will establish regions where experts in each field gather as global heads from which they will oversee global efforts.

For example, until now we have assembled a team of 70 personnel in Europe who are well versed in business operations, systems and project management to link our IT systems globally. By rolling out systems from this base, we have managed to build IT systems that are standardized across the Group. In the areas of e-commerce and software, our Boston, USA-based ASICS Digital oversees the global implementation of digital technologies, while race registration is handled by our team in Canada. In terms of products, at the ASICS

Creation Center that was established in Boston this year, personnel familiar with trends in the European and U.S. markets will collaborate organically with our Institute of Sports Science in Japan and other categories. Our style is to look at and oversee a particular field globally from the most appropriate region instead of always looking at the global picture from Japan. This style applies not only to digital technologies but also to category, human resources, legal affairs, supply chain management and so on. I believe our transformation to a Global Integrated Enterprise is quite a challenging endeavor. However, I regard it as an essential transformation as ASICS' next step to becoming a leading global company in the truest sense. On top of the strengths that ASICS has always enjoyed, such as the quality and functionality of its products, the teamwork of its employees and brand loyalty, if we can gain the ability to improve productivity by incorporating new innovations emerging around the world, a bright future for ASICS is assured. As someone who is Japanese but has built a

career in a multinational environment, I think I can contribute in significant ways to this transformation and it is something that I will push for with zeal.

What's ASICS

Message from the President

Value Creation

Foundations of Value Creation Sustainability

Foundations of Value Creation Corporate Governance

Data Section

Digital Technology and the OneASICS Strategy

ASICS has evolved as a digitally driven company at a global scale, and even on the operational front, we pursue operational excellence in an effort to boost productivity through the full use of AI in supply chain management, including R&D and inventory control. With respect to customers, over the past three years we have increased the number of direct points of contact, and direct-to-consumer (DTC) sales have risen as a percentage of total sales. Underpinning these efforts is our OneASICS loyalty program. The number of OneASICS members still stands at only 15 million and involves elements designed to attract customers such as the granting of points and free shipping, but in the future, we will further improve and expand the service offerings by utilizing the data we have accumulated to date, including purchase histories, training results and race entry history. For example, in addition to utilizing OneASICS for daily training or to sign up for sports events with friends, we will expand tools designed for exercise or to boost motivation targeting middle-aged and senior customers who want to build up their training due to concerns about declining physical fitness. I think this precisely represents the promotion of ASICS' Sound Mind, Sound Body philosophy. We aim to increase the number of OneASICS members to 30 million and raise the DTC sales ratio to 40% while expanding the number of facility users and holders of OneASICS bonds. ASICS builds databases of people who enjoy a wide range of sports in addition to running, and by coordinating with partners familiar with other areas such as the tracking of medical and training data, we can link that data to improvements in marketing, products and services. By doing so, our aim is to change the current impression that many people have of ASICS as a shoes company to a "company that promotes Sound Mind and Sound Body."

The Pursuit of Sound Mind, Sound Body

Allocation of Management Resources

When considering our future business portfolio and the allocation of management resources, whether something contributes to our becoming a company that promotes Sound Mind, Sound Body will serve as our decision-making criteria. In various operations including products, services and marketing, we will promote a selection and concentration approach to items that fall outside these decision-making criteria or which do not necessarily need to be handled by ASICS.

Receiving the DX Grand Prix 2024

ASICS was selected from among digital transformation (DX) stocks for the DX Grand Prix 2024 under a program jointly operated by the Ministry of Economy, Trade and Industry and the Tokyo Stock Exchange.

The program selects companies that have constructed DX systems leading to increased corporate value and that display outstanding results from their utilization of IT from among the roughly 3,800 companies listed on the Tokyo Stock Exchange.

ASICS has been selected for three consecutive years following its inclusion in DX Stocks 2022 and Noteworthy DX Companies 2023, and this year was one of the three companies selected from among the 25 constituent stocks for the DX Grand Prix 2024 as a company leading the digital age, underscoring recognition for ASICS' ongoing DX efforts.

ASICS was evaluated on the following key points.

- Fusion our management strategy and DX strategy
- Strengthening of business models under our DX strategy and contributions to corporate value
- Global unification of mission-critical systems, data-driven management decisions and DX execution capabilities including the development of digital tech-savvy human resources
- Disclosure of the above details to stakeholders through the Integrated Report, IR materials and investment days, among others



DX Grand Prix 2024
Digital Transformation

Intangible Assets

As part of our efforts to promote ASICS' philosophy, we emphasize human-centric science as a basis for product development. As a result of steadfastly investing in research and development for more than four decades, ASICS has passed down proprietary technologies, innovations and approaches, not only in the area of shoes but also apparel. The knowledge accumulated by the Institute of Sports Science is a source of value enabling ASICS to demonstrate strengths that its competitors lack, and the ASICS Design Philosophy we have built to date is an intangible asset that will be preserved into the future. At the same time, we will promote collaborations with other industrial organizations, universities and other entities at an even greater rate, and invest in development that utilizes IT and digital technologies.

Human Capital

The core human capital in a GLE can work globally, have the ability to utilize digital tools and, of course, identify with the Sound Mind, Sound Body philosophy as a key foundation. Investment in human capital is essential for corporate growth in the medium to long term, and we aim to offer industry-leading compensation in an effort to continually secure talented personnel. We have already significantly increased starting salaries offered to new graduate hires from FY2024 onward. We also paid a one-off lump-sum payment to all global employees to reflect our strong business performance. We aim to strengthen investments in human capital with the introduction of profit-sharing bonuses, the launching of a transfer-restricted stock-based incentive scheme through shareholding associations and other measures. At the same time, we will focus on human resource development through initiatives such as job rotations and overseas assignments. In every area from manufacturing to sales, sports events and production, we have now managed to build a corporate structure enabling the use of cutting-edge technologies and developed a personnel evaluation system that is standardized globally. With these systems in place, we will turn into a high-performance company that provides significant results by offering good compensation to human resources who are willing to take on challenges.

Sustainability

I feel a strong sense of crisis over climate change and global warming as major risks not only to ASICS but also the entire sports industry. We are strongly committed to tackling these issues, and specific initiatives we have undertaken include developing shoes that generate the world's fewest CO₂ emissions. We will continue to pursue initiatives that emphasize sustainability from environmental perspectives such as recycled models and efforts to address human rights. We will also make appeals to customers and society writ large regarding these topics.

Governance

The ASICS Board Meeting includes professionals in the areas of management, legal affairs, finance and accounting, in addition to members with extensive experience in the sports industry. The Board engages in lively exchanges of views and discussions on a range of topics including key strategies and medium- to long-term policies each month. The Board also actively discusses matters on specific themes including sustainability, product innovation and diversity. Opinions and observations provided by outside directors at Board Meetings are brought up for further discussion and consideration at Management Meetings, and then reported back to the Board Meeting the following month.

To Our Stakeholders

We have begun to see the results of building and implementing the category-based management system we began in 2019, and today ASICS is demonstrating a strong competitive advantage globally based on its dominant products. In MTP 2026, which began in 2024, we will pool our strengths to promote the Global × Digital approach under a new management structure, and strive to meet our targets.

In terms of shareholder return, we will aim to achieve a consolidated total payout ratio of 50% over the three years of MTP 2026. We will also take a flexible approach in considering additional shareholder return based on the premise of maintaining progressive dividends while taking into account profit distribution, cash reserves and the investment situation.

Through digital transformation, starting internally we have made progress in the visualization of data including human resources, business opportunities, growth potential and profitability by category or region. We will further enhance decision-making transparency by using visualized data to determine what decisions are made, where management resources are invested and to what degree. By improving transparency internally, we will also fulfill our accountability to shareholders and investors, enhancing our ability to properly explain with even greater transparency about why we invest in certain areas, or why we pursue certain initiatives. We are committed to making investments that advance visualization and our Sound Mind, Sound Body philosophy while ensuring ongoing shareholder returns, and we appreciate your continued support.

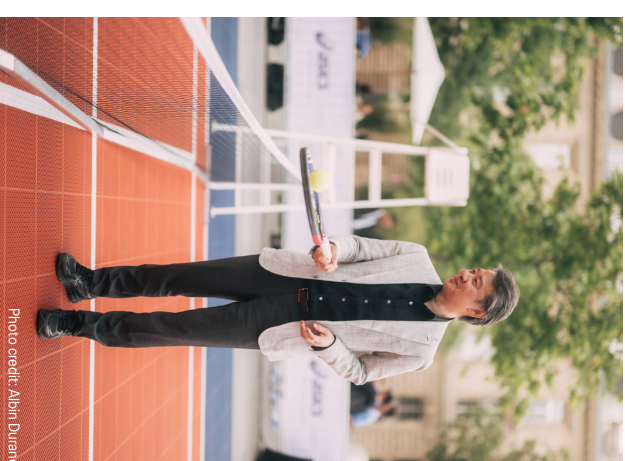


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